- Proprietary Funds - When the City charges customers for the service it provides, these services are generally reported in Proprietary Funds. Proprietary Funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Activities. The major difference between the Proprietary Funds and the Business-Type Activities we report in the government-wide statements is the detail and additional information, such as cash flows, provided in the Proprietary Funds.

Government-Wide Financial Analysis

As stated earlier, net position may serve over time as a useful indicator of a government's financial position. The largest part of the City's net position reflects its investment in capital assets (land, buildings and improvements, and equipment), less any related debt used to acquire those assets that are still outstanding. The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Table A-1 below provides a summary of the City's net position as of September 30, 2025 and 2024.

Table A-1
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total	
	2025	2024	2025	2024	2025	2024
Current and other assets	$ 3,490,730	$ 3,134,473	$ 342,717	$ 709,548	$ 3,833,447	$ 3,844,021
Capital assets	7,571,472	7,772,891	10,348,578	9,984,438	17,920,050	17,757,329
Total assets	$ 11,062,202	$ 10,907,364	$ 10,691,295	$ 10,693,986	$ 21,753,497	$ 21,601,350
Long-term debt outstanding	$ 3,304,694	$ 3,678,269	$ 7,092,222	$ 7,122,567	$ 10,396,916	$ 10,800,836
Other liabilities	363,943	369,419	307,100	428,381	671,043	797,800
Total liabilities	$ 3,668,637	$ 4,047,688	$ 7,399,322	$ 7,550,948	$ 11,067,959	$ 11,598,636
Deferred inflows of resources	$ 16,249	$ 31,903	$ -	$ -	$ 16,249	$ 31,903
Net position:						
Net investment in capital assets	$ 4,266,778	$ 4,094,622	$ 3,256,356	$ 2,861,871	$ 7,523,134	$ 6,956,493
Restricted	1,078,263	1,332,300	150,000	150,000	1,228,263	1,482,300
Unrestricted	2,032,275	1,400,851	(114,383)	131,167	1,917,892	1,532,018
Total net position	$ 7,377,316	$ 6,827,773	$ 3,291,973	$ 3,143,038	$ 10,669,289	$ 9,970,811

This summary reflects an increase of 8.0 percent in the net position of the governmental activities and a 4.7 percent increase in the net position of the business-type activities. Restricted net position represents 11.5 percent of the City's total net position. These resources are restricted externally or by enabling legislation to be used for specific purposes. The City's unrestricted net position of $1,917,892 may be used to meet the City's ongoing obligations to the citizens and creditors.

At the end of the current fiscal year, the City has positive balances in all three categories of net position, both for the City as a whole as well as for the separate governmental activities. The same situation held true for the prior fiscal year.

CITY OF DAKOTA CITY

STATEMENT OF NET POSITION

SEPTEMBER 30, 2025

	Governmental Activities	Business-Type Activities	Total
ASSETS:			
Current assets:			
Cash and cash equivalents	$ 2,002,633	$ 473,943	$ 2,476,576
Investments	36,115	315,927	352,042
Receivables:			
Accounts	9,624	116,966	126,590
Taxes	192,305	-	192,305
Estimated unbilled usage	-	17,028	17,028
Special assessments	86,715	-	86,715
Due from other governmental agencies	31,790	-	31,790
Interest receivable	94,996	-	94,996
Lease receivable	16,249	-	16,249
Prepaid asset	100,000	-	100,000
Internal balances	60,719	(60,719)	-
Total current assets	$ 2,631,146	$ 863,145	$ 3,494,291
Noncurrent assets:			
Restricted assets - cash	$ -	$ 29,572	$ 29,572
Internal balances	550,000	(550,000)	-
Special assessments	309,584	-	309,584
Land and construction in progress	390,197	326,655	716,852
Property and equipment, net of accumulated depreciation	7,181,275	10,021,923	17,203,198
Total noncurrent assets	$ 8,431,056	$ 9,828,150	$ 18,259,206
Total assets	$ 11,062,202	$ 10,691,295	$ 21,753,497
LIABILITIES:			
Current liabilities:			
Accounts payable	$ 314,545	$ 154,440	$ 468,985
Accrued expenses	-	2,790	2,790
Accrued wages and compensated absences	19,195	3,276	22,471
Accrued interest payable	30,203	130,264	160,467
Due within one year:			
Notes payable	-	205,756	205,756
Revenue bonds payable	-	140,000	140,000
General obligation bonds	335,000	-	335,000
Financed purchase liability	8,651	-	8,651
Total current liabilities	$ 707,594	$ 636,526	$ 1,344,120
Liabilities payable from restricted assets:			
Customer deposits	$ -	$ 16,330	$ 16,330
Noncurrent liabilities:			
Due within more than one year:			
Notes payable	$ -	$ 5,661,466	$ 5,661,466
Revenue bonds payable	-	1,085,000	1,085,000
General obligation bonds	2,915,000	-	2,915,000
Financed purchase liability	46,043	-	46,043
Total noncurrent liabilities	$ 2,961,043	$ 6,746,466	$ 9,707,509
Total liabilities	$ 3,668,637	$ 7,399,322	$ 11,067,959
DEFERRED INFLOWS OF RESOURCES:			
Leases	$ 16,249	$ -	$ 16,249
NET POSITION:			
Net investment in capital assets	$ 4,266,778	$ 3,256,356	$ 7,523,134
Restricted for:			
Debt service	448,487	150,000	598,487
Infrastructure	614,468	-	614,468
Public safety	-	-	-
Housing rehabilitation	15,308	-	15,308
Unrestricted	2,032,275	(114,383)	1,917,892
Total net position	$ 7,377,316	$ 3,291,973	$ 10,669,289

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF ACTIVITIES

FOR THE YEAR ENDED SEPTEMBER 30, 2025

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenue and Changes in Net Position: Governmental Activities	Net (Expense) Revenue and Changes in Net Position: Business-Type Activities	Net (Expense) Revenue and Changes in Net Position: Total
Governmental activities:							
General government	$ 281,982	$ 77,837	$ -	$ -	$ (204,145)	$ -	$ (204,145)
Public safety	409,430	60,367	-	57,198	(291,865)	-	(291,865)
Public works	841,406	-	316,199	49,500	(475,707)	-	(475,707)
Culture and recreation	144,590	76,784	600	-	(67,206)	-	(67,206)
Debt service	91,183	-	-	-	(91,183)	-	(91,183)
Total governmental activities	$ 1,768,591	$ 214,988	$ 316,799	$ 106,698	$ (1,130,106)	$ -	$ (1,130,106)
Business-type activities:							
Electric	$ 22,895	$ 235,735	$ -	$ -	$ -	$ 212,840	$ 212,840
Water	824,504	481,177	-	-	-	(343,327)	(343,327)
Sewer	565,273	542,421	-	-	-	(22,852)	(22,852)
Sanitation	144,259	143,847	-	-	-	(412)	(412)
Total business-type activities	$ 1,556,931	$ 1,403,180	$ -	$ -	$ -	$ (153,751)	$ (153,751)
Total	$ 3,325,522	$ 1,618,168	$ 316,799	$ 106,698	$ (1,130,106)	$ (153,751)	$ (1,283,857)
General revenues:							
Property taxes					$ 427,685	$ -	$ 427,685
Property taxes levied for debt service					199,441	-	199,441
Sales tax, Public Safety Services Agency indebtedness					177,127	-	177,127
Sales tax, infrastructure improvements					177,127	-	177,127
Other taxes					90,967	-	90,967
Unrestricted interest income					38,198	8,642	46,840
Grants and contributions not restricted to specific purpose					514,650	-	514,650
Gain on extinguishment of debt					-	240,693	240,693
Miscellaneous					75,702	32,103	107,805
Transfers					(21,248)	21,248	-
Total general revenues and transfers					$ 1,679,649	$ 302,686	$ 1,982,335
Change in net position					$ 549,543	$ 148,935	$ 698,478
Net position - beginning					6,827,773	3,143,038	9,970,811
Net position - ending					$ 7,377,316	$ 3,291,973	$ 10,669,289

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

BALANCE SHEET - GOVERNMENTAL FUNDS

SEPTEMBER 30, 2025

	General Fund	Debt Service	Sales Tax	Formerly Nonmajor Fund ARP	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS:						
Cash and cash equivalents	$ 1,202,234	$ 78,728	$ 600,282	$ 106,081	$ 15,308	$ 2,002,633
Investments	36,115	-	-	-	-	36,115
Receivables:						
Accounts	9,624	-	-	-	-	9,624
Taxes	78,345	31,794	82,166	-	-	192,305
Special assessments	396,299	-	-	-	-	396,299
Due from other funds	829,381	11,074	39,790	-	-	880,245
Due from other governmental agencies	31,790	-	-	-	-	31,790
Interest receivable	94,996	-	-	-	-	94,996
Lease receivable	16,249	-	-	-	-	16,249
Prepaid asset	100,000	-	-	-	-	100,000
Total assets	$ 2,795,033	$ 121,596	$ 722,238	$ 106,081	$ 15,308	$ 3,760,256
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES:						
Liabilities:						
Accounts payable	$ 102,294	$ -	$ 106,170	$ 106,081	$ -	$ 314,545
Accrued wages and related taxes	11,203	-	-	-	-	11,203
Accrued interest payable	1,805	590	-	-	-	2,395
Due to other funds	50,864	217,062	1,600	-	-	269,526
Bonds payable	-	10,000	-	-	-	10,000
Total liabilities	$ 166,166	$ 227,652	$ 107,770	$ 106,081	$ -	$ 607,669
Deferred inflows of resources:						
Unavailable revenue - property taxes	$ 57,120	$ 3,117	$ -	$ -	$ -	$ 60,237
Unavailable revenue - special assessments	346,799	-	-	-	-	346,799
Leases	16,249	-	-	-	-	16,249
Total deferred inflows of resources	$ 420,168	$ 3,117	$ -	$ -	$ -	$ 423,285
Fund balances:						
Nonspendable:						
Prepaid asset	$ 100,000	$ -	$ -	$ -	$ -	$ 100,000
Interfund advance	550,000	-	-	-	-	550,000
Restricted for:						
Debt service	235,552	-	-	-	-	235,552
Infrastructure	-	-	614,468	-	-	614,468
Housing rehabilitation	-	-	-	-	15,308	15,308
Unassigned	1,323,147	(109,173)	-	-	-	1,213,974
Total fund balances	$ 2,208,699	$ (109,173)	$ 614,468	$ -	$ 15,308	$ 2,729,302
Total liabilities, deferred inflows of resources, and fund balances	$ 2,795,033	$ 121,596	$ 722,238	$ 106,081	$ 15,308	$ 3,760,256

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES

GOVERNMENTAL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	General Fund	Debt Service	Sales Tax	Formerly Nonmajor Fund ARP	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:						
Property taxes	$ 436,722	$ 204,105	$ -	$ -	$ -	$ 640,827
Sales tax	-	-	354,254	-	-	354,254
Other taxes	90,359	608	-	-	-	90,967
Licenses and permits	17,610	-	-	-	-	17,610
Intergovernmental	600,578	-	-	235,207	-	835,785
Charges for services	106,875	-	-	-	-	106,875
Special assessment	44,632	-	-	-	-	44,632
Interest income	38,198	-	-	-	-	38,198
Rental income	60,228	-	-	-	-	60,228
Miscellaneous	158,007	831	-	-	-	158,838
Total revenues	$ 1,553,209	$ 205,544	$ 354,254	$ 235,207	$ -	$ 2,348,214
Expenditures:						
Current:						
General government	$ 269,630	$ -	$ -	$ -	$ -	$ 269,630
Public safety	184,904	-	177,127	-	-	362,031
Public works	348,400	-	96,031	213,959	-	658,390
Culture and recreation	100,597	-	-	-	-	100,597
Capital outlay	86,895	-	-	21,248	-	108,143
Debt service	71,388	398,081	-	-	-	469,469
Total expenditures	$ 1,061,814	$ 398,081	$ 273,158	$ 235,207	$ -	$ 1,968,260
Excess (deficiency) of revenues over expenditures	$ 491,395	$ (192,537)	$ 81,096	$ -	$ -	$ 379,954
Other financing sources (uses):						
Transfer in	$ -	$ 96,988	$ -	$ -	$ -	$ 96,988
Transfer out	(96,988)	-	-	-	-	(96,988)
Total other financing sources (uses)	$ (96,988)	$ 96,988	$ -	$ -	$ -	$ -
Net change in fund balances	$ 394,407	$ (95,549)	$ 81,096	$ -	$ -	$ 379,954
Fund balances - beginning	1,814,292	(13,624)	533,372	-	15,308	2,349,348
Fund balances - ending	$ 2,208,699	$ (109,173)	$ 614,468	$ -	$ 15,308	$ 2,729,302

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF NET POSITION - PROPRIETARY FUND

SEPTEMBER 30, 2025

	Enterprise Fund Combined Utilities Fund
ASSETS:	
Current assets:	
Cash	$ 473,943
Investments	315,927
Receivables:	
Accounts	116,966
Estimated unbilled usage	17,028
Interfund balances	39,362
Total current assets	$ 963,226
Noncurrent assets:	
Restricted assets - cash	$ 29,572
Land	326,655
Infrastructure, property, and equipment, net of accumulated depreciation	10,021,923
Total noncurrent assets	$ 10,378,150
Total assets	$ 11,341,376
LIABILITIES:	
Current liabilities:	
Accounts payable	$ 154,440
Accrued expenses	2,790
Accrued wages and compensated absences	3,276
Accrued interest payable	130,264
Interfund balances	100,081
Revenue bonds due within one year	140,000
Note payable due within one year	205,756
Total current liabilities	$ 736,607
Liabilities payable from restricted assets:	
Customer deposits	$ 16,330
Total liabilities payable from restricted assets	$ 16,330
Noncurrent liabilities:	
Interfund advance	$ 550,000
Revenue bonds payable due in more than one year	1,085,000
Note payable due in more than one year	5,661,466
Total noncurrent liabilities	$ 7,296,466
Total liabilities	$ 8,049,403
NET POSITION:	
Net investment in capital assets	$ 3,256,356
Restricted for debt service	150,000
Unrestricted	(114,383)
Total net position	$ 3,291,973

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Enterprise Fund Combined Utilities Fund
Operating revenues:	
Charges for services	$ 1,167,445
NPPD lease revenue	235,735
Total operating revenues	$ 1,403,180
Operating expenses:	
Production	$ 438,973
Operation and maintenance	292,651
General expenses	350,894
Depreciation	272,237
Total operating expenses	$ 1,354,755
Net operating income	$ 48,425
Non-operating revenues (expenses):	
Gain on extinguishment of debt	$ 240,693
Interest income	8,642
Interest and other expenses	(198,284)
Miscellaneous income	32,103
Miscellaneous expense	(3,892)
Total non-operating expenses	$ 79,262
Income before contributions and transfers	$ 127,687
Capital contributions	$ 21,248
Change in net position	$ 148,935
Total net position - beginning	3,143,038
Total net position - ending	$ 3,291,973

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF CASH FLOWS - PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Enterprise Fund Combined Utilities Fund
Cash flows from operating activities:	
Cash received from customers	$ 1,414,929
Cash received from other funds	23,672
Cash paid to suppliers for goods and services	(828,360)
Cash paid to employees for services	(191,160)
Other cash receipts	32,103
Net cash provided by operating activities	$ 451,184
Cash flows from capital and related financing activities:	
Proceeds from loan forgiveness	$ 347,904
Acquisition of capital assets	(821,413)
Proceeds from capital debt	425,218
Principal paid on capital debt	(324,525)
Interest paid on capital debt	(179,156)
Net cash used in capital and related financing activities	$ (551,972)
Cash flows from investing activities:	
Interest on investments	$ 1,601
Net cash provided by investing activities	$ 1,601
Net decrease in cash	$ (99,187)
Cash and restricted cash - beginning	602,702
Cash and restricted cash - ending	$ 503,515

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF CASH FLOWS - PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

(CONTINUED)

	Enterprise Fund Combined Utilities Fund
Reconciliation of operating income to net cash provided by operating activities:	
Operating income	$ 48,425
Adjustments to reconcile net operating income to net cash provided by operating activities:	
Depreciation	$ 272,237
Bad debt expense	1,137
Other cash receipts	32,103
Other cash disbursements	(3,892)
(Increase) decrease in assets:	
Accounts receivables	11,241
Estimated unbilled usage	386
Interfund receivable for services	69,182
Increase (decrease) in liabilities:	
Accounts payable	67,824
Accrued expenses	(159)
Accrued wages and compensated absences	(1,912)
Interfund payable for services	(45,510)
Customer deposits	122
Total adjustments	$ 402,759
Net cash provided by operating activities	$ 451,184
Reconciliation of cash to the statement of net position:	
Cash	$ 473,943
Restricted cash	29,572
	$ 503,515
Schedule of noncash capital and related financing activities:	
Purchases of capital assets in accounts payable	$ 31,965
Capital asset contributed	21,248
	$ 53,213

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

BUDGETARY COMPARISON SCHEDULE (BUDGETARY BASIS) - GOVERNMENTAL FUNDS

REQUIRED SUPPLEMENTARY INFORMATION

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Budgeted Amounts		Actual Budgetary Basis	Variance With Final Budget - Positive (Negative)
	Original	Final		
Resources:				
Property taxes	$ 606,400	$ 606,400	$ 673,026	$ 66,626
State receipts	591,615	591,615	623,657	32,042
Local receipts	863,600	923,600	751,493	(172,107)
Total resources	$ 2,061,615	$ 2,121,615	$ 2,048,176	$ (73,439)
Disbursements and transfers:				
General government	$ 366,396	$ 366,396	$ 263,928	$ 102,468
Public safety	404,750	524,750	396,268	128,482
Public works	574,818	574,818	494,050	80,768
Culture and recreation	128,841	148,841	100,405	48,436
Debt service	432,866	462,866	469,469	(6,603)
Capital projects	383,000	383,000	108,143	274,857
Total disbursements and transfers	$ 2,290,671	$ 2,460,671	$ 1,832,263	$ 628,408
Excess (deficiency) of resources and transfers over disbursements and transfers	$ (229,056)	$ (339,056)	$ 215,913	$ 554,969
Cash fund balances - beginning			1,822,835	
Cash fund balances - ending			$ 2,038,748	

CITY OF DAKOTA CITY

COMBINING SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN

FUND BALANCES - GOVERNMENTAL FUNDS - NONMAJOR

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Housing	Formerly Nonmajor Fund ARP	Total Nonmajor Governmental Funds
Revenues:			
Intergovernmental	$ -	$ -	$ -
Total revenues	$ -	$ -	$ -
Expenditures:			
General government	$ -	$ -	$ -
Total expenditures	$ -	$ -	$ -
Net change in fund balances	$ -	$ -	$ -
Fund balances - beginning	15,308	-	15,308
Fund balances - ending	$ 15,308	$ -	$ 15,308